

2.2 THE GENERAL PRICE LEVEL

MARKING SCHEME

1991/CE/II/46 D	1995/CE/II/33 D	2000/CE/II/39 D	2007/CE/II/34 C (59%)	2014/DSE/I/40 C (66%)
1991/CE/II/48 B	1995/CE/II/36 D	2001/CE/II/31 B	2008/CE/II/31 C (69%)	2015/DSE/I/36 A (72%)
1991/CE/II/50 A	1996/CE/II/32 A	2001/CE/II/32 A	2008/CE/II/33 C (71%)	2016/DSE/II/24 D (37%)
1993/CE/II/42 C	1997/CE/II/25 C	2005/CE/II/33 D (51%)	2009/CE/II/33 A (66%)	2016/DSE/II/37 B (65%)
1994/CE/II/20 C	1997/CE/II/27 D	2005/CE/II/34 D (46%)	2009/CE/II/34 B (69%)	2017/DSE/II/34 C (85%)
1994/CE/II/34 B	1997/CE/II/31 B	2006/CE/II/31 D (61%)	2012/DSE/II/32 D (68%)	2022/DSE/II/39 C
1994/CE/II/38 D	1999/CE/II/33 C	2007/CE/II/33 A (55%)	2013/DSE/II/34 C (82%)	2023/DSE/II/38 C
2025/DSE/II/40 C				

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/3(b)(ii)

- (I) The businessman would gain, because (1)
the value of the loan / interest payments decreases in real terms during inflation. (2)
- (II) The landlord would lose, because (1)
the value of the rent decreases in real terms / the purchasing power of the fixed rent drops in times of inflation. (2)

1993/CE/I/1(e)

- (i) Lose, because (1)
the real value of the receipt will decrease during inflation. (2)
OR
the cost of supplying the lunch package will increase during inflation. (2)
- (ii) Lose, because (1)
the real value of the sum of money and/or the interest income will decrease during inflation. (2)

1998/CE/I/1(a)

- A continuous rise in the general price level (2)

1999/CE/I/1(c)

- (i) Under fixed interest rates, the payment of hire and purchase remains the same.

OR

Under floating interest rates, the fall in nominal interest rate is less than the fall in the general price level. (2)

However, the value of payment to bank for hire purchase will increase since the purchasing power of the payment increase. (2)

- (ii) Under floating interest rates, if the adjustment of the interest rates is fast enough to catch up with the fall in the general price level, there will be no loss nor gain. (2)

2001/CE/I/9(d)

Effect on the general price level

Most foodstuffs, daily necessities and industrial raw materials are imported. (1)

∴ introduction of the tax would lead to a rise in the general price level (1)

Result in inflation?

If the introduction of the tax only results in an once-and-for-all rise in the general price level, then it would not bring forth an inflation. (3)

[Only put down the definition of inflation as 'a persistent or continuous rise in the general price level' without other elaboration - max: 2 marks]

2003/CE/I/9(c)

- (i) Lose, because (1)
the fixed amount of loan repayment and the fixed amount of loan interest payment both have a higher purchasing power than that before unexpected deflation occurs. (2)

- (ii) Gain, because (1)
the fixed pension has a higher purchasing power than that before the unexpected deflation occurs. (2)

2005/CE/I/7

- (a) He would lose, because (1)
he repays a fixed amount of money, the purchasing power of which has increased because of unexpected deflation. (1)

- (b) He would gain, because (1)
he receives a fixed amount of money, the purchasing power of which has increased because of unexpected deflation. (1)

2007/CE/I/4(b)

The table indicates a decrease in the general price level. (2)

- (i) He would gain, because . (1)
the fixed amount of pension has a higher purchasing power (in times of unexpected deflation). (1)

- (ii) He would lose, because . (1)
the real value of the repayment will increase (during unexpected deflation). (1)

2009/CE/I/5

- (a) Inflation is a continuous rise in the general price level. (2)

- (b) He would gain, because (1)
the real value of his loan repayment will decrease. (2)

2012/DSE/II/11(a)

Persistent increase in the general price level (2)

2014/DSE/II/5

(a) $[(126 - 120) / 120] \times 100\% = 5\%$ (1)

- (b) CPI only includes consumer goods while GDP deflator includes both consumer goods and producer goods.

OR

CPI calculates a fixed basket of goods and the weighting will be revised every 5 years while GDP deflator has variable baskets of goods for each year. (2)

- (c) (i) Kitman would gain, because (1)
the unexpected inflation would lower the real value (purchasing power) of the loan repayment. (1)

2018/DSE/II/10(b)

The foreign domestic helpers will lose under unexpected inflation, as the purchasing power of their fixed wage would drop. (2)

2019/DSE/II/6

- (a) Increased (+1.7%). (1)

- (b) He would gain because when the actual inflation rate (1.7%) was lower than the expected inflation rate (2.3%), the actual real interest rate received (3.3%) was higher than the expected real interest rate (2.7%). OR the purchasing power of the interest received was higher than expected. (3)

- (c) Real wage rates increased because the increase in the nominal wage rate 6.2% was higher than the inflation rate 1.7%. (3)